Purchasing Policy

Adopted April 2, 2025
Amended May 7, 2025

A Resolution of Pine Valley Local Administration District (PVLAD) prescribing the manner PVLAD shall procure goods and services.

General Provisions

1. Purchasing Agent Designated. The Vice-Chair is designated as the PVLAD purchasing agent. The Purchasing Agent may from time to time appoint another person to undertake all or some of the duties of the Purchasing Agent set forth herein or appointed to him.
2. Authority to Enter into and Execute Contracts. All contracts are to be approved by the PVLAD. No board member or volunteer shall be empowered to execute any purchase order or contract except as specifically authorized in this resolution or by other applicable law. All contracts in violation of this provision are considered void and may result in the personal obligation and liability of persons at fault for such violations.
3. Authority to Implement Auto-Pay Options. Recurring expenses may be paid through auto-pay if the Clerk or Treasurer receives prior approval from the PVLAD.
4. Conflict of Interests Prohibited. No board member shall have a financial interest in any contract, bid, or proposal; receive any compensation or gift from any bidder or proposer; or have any other conflict of interest (See Utah Code 67-16 and 17-16a).
5. Competitive Procurement. Unless exempted by this policy, all purchases and contracts shall be awarded on a competitive basis, as required by this Resolution and applicable State and Federal law.
6. Participation in State Procurement Unit Agreement and Contracts. Pursuant to Utah Code 63G-6a-2105, PVLAD may make purchases from or participate in state public procurement unit agreements and contracts, pursuant to the terms of said agreements and contracts without soliciting additional procurement options.
7. Unethical Purchasing Practices. Failure of any board member to comply with ethical purchasing requirements may result in suspension, dismissal, being personally liable for the purchase and/or criminal prosecution. All members engaged in the procurement process for PVLAD will maintain high ethical behavior in agreement with Utah Code 67-16, Utah Public Officers' and Employees' Ethics Act and avoid the following practices:
    a. Dividing a procurement to avoid following policy (see Utah Code 63G-6a-2404.3)
    b. Kickbacks and Gratuities (see Utah Code 63G-6a-2404, 67-16-5 through 67-16-6)
    c. Failure to Disclose conflicts (see Utah Code 63G-6a-1205 & 67-16-9)
    d. Cost-plus-a-percentage-of-cost contracts (see Utah Code 63G-6a-1205)
8. PVLAD purchases are not subject to sales tax. For vendors requiring documentation of tax exempt status, a TC-712G Exemption Certificate for Governments and Schools may be obtained from the Clerk.
9. When a procurement involves the expenditure of State or Federal funds, PVLAD shall comply with the applicable State and Federal laws and regulations.
10. PVLAD board members and independent contractors may be reimbursed for goods and services provided they:
    a. have been budgeted for and are in line with the budgeted purposes and responsibilities,
    b. been approved based on the Authorization Requirements in this policy
    c. Total amount is less than $2,000 . Any reimbursement request over $2,000 must be approved by the PVLAD board.

Authorization Requirements for Purchases

1. Purchases up to $2000. All procurements of services and goods in an amount less than $2,000 may be approved by the board chair provided such procurements have been budgeted for within the department and are in line with the budgeted purposes and responsibilities of said department.

2. Purchases over $2,000. All procurements of services and goods in an amount over $2,000 must have a purchase order approved by the board chair prior to initiating the purchase. Descriptions of items or services will use sufficient and descriptive terminology to allow the reviewer to understand what is being purchased and why, part numbers by themselves are not sufficient.

3. Purchases over $15,000 All procurements of services and goods in an amount over $15,000 must have a purchase order approved by the board chair. Documentation of the solicitation of three quotes or reference to the exemption of those requirements must be attached. (See quote sheet at the end of this policy). Catalog or website prices may be considered as a quote or bid.

4. Purchases over $50,000. All procurements of services and goods in an amount over $50,000 must be put out for competitive bid to be prepared and approved by the PVLAD board. (See section of Competitive Bids for requirements). Purchases over $50,000 require a written contract to be approved in an open meeting.

5. Avoidance of approval and written contract requirements. Purchases shall not be divided into smaller purchases for the purpose of evading the approval process required by this policy, or for the purpose of avoiding the need to obtain a written contract.

6. Competitive Sealed Bids – When Required

a. All procurements of goods which are reasonably anticipated to exceed $50,000 shall be obtained by competitive sealed bidding. The PVLAD may also require competitive sealed bidding for the procurement of goods and services for any amount.

b. In the event that bids exceed available funds and the lowest responsive and responsible bid does not exceed funds available by more than five percent, the Board may, where time or economic considerations preclude re-solicitation of work of a reduced scope, negotiate an adjustment of the bid price, including changes in the bid requirements, with the lowest responsive and responsible bidder, in order to bring the bid within the amount of available funds.

c. Content of Invitation for Bids. An invitation for bids shall:

State that the PVLAD is seeking bids for a procurement;

Contain information on how to contact the person with the most knowledge about procurement.

f. State the period of time during which bids will be accepted;

g. Describe the manner in which a bid shall be submitted;

h. State the address at which a bid may be submitted, and the person to whom the bid should be submitted;

i. Describe the goods or services sought to be procured;

j. List or refer to the objective criteria that will be used to evaluate the bids.

k. To the extent possible, include or reference significant contractual terms and conditions.

l. State the date, time and place for the public opening of all bids.

m. An invitation to bid may require attendance at a pre-bid meeting for the purpose of obtaining additional information relevant to the bid. The invitation shall list the time, date and place of any pre-bid meeting that will take place.

n. An invitation to bid may require that a bidder obtain additional specifications and objective criteria too lengthy to publish in the invitation for bids. The invitation to bid shall indicate where such information may be obtained.

o. All invitations for sealed bids shall be published at least once in a newspaper of general circulation at least 15 days prior to the deadline for submission of a bid.

p. All sealed bids shall be opened by the board chair or designated representative in an open public meeting, before one or more witnesses, at the time and place indicated in the invitation for bids. The name of the bidder and the amount of each bid shall be recorded and made available to the public. Bids shall not be accepted after the time for submission of a bid has expired.
q. The PVLAD shall reject bids from further evaluation that are: incomplete, illegible, conditional, modify bid requirements, contain additional terms or conditions, divide bid into parts, failed to attend required pre-bid meetings, fail to confirm requirements or specifications, the bidder has a pending dispute with the PVLAD on a previous project or where the PVLAD reasonably concludes that the bidder is unable to satisfactorily fulfill the bid requirements or has engaged in unlawful or unethical conduct in attempting to secure the bid. Any bidder whose bid has been rejected may obtain from the board chair a written finding stating the specific reason the bid was rejected.
r. The PVLAD shall award the bid/contract to the lowest qualified bidder or the bidder who best satisfies the objective criteria described in the invitation for bids which may include: Experience, performance ratings, inspection of workmanship, suitability, quality, likely compatibility with existing assets or practices of neighboring fire districts, availability, warrantee, references, licensure, proximity or other criteria reasonably specified in the invitation to bid.
s. Tied bids may be resolved using any reasonable criteria and at the sole discretion of the PVLAD.
t. PVLAD may cancel the bid process or reject all bids in whole or in part if it determines that; no bids met bid requirements, there are insufficient funds, the item is no longer needed or the specifications or timing does not meet PVLAD's current needs or long term plans. In the event of a bid cancellation the PVLAD shall publicly state the reason for the cancellation and make that information available for public inspection.
u. Exemptions from competitive bid requirements may include the following: Sole source providers, service contracts with professionals or specialists, emergency purchases. The board chair shall sufficiently document the reason for not competitively bidding the procurement and have it approved by the PVLAD.
v. Protests to the bidding process shall be submitted to the Fire Chief in writing within five days after the opening of bids. The board chair will respond to the protest within five days of receiving the complaint. The board chair's decision may be appealed to the PVLAD in writing within five days of receiving the response. The PVLAD may address the appeal at its next regularly scheduled meeting or hold a special meeting to evaluate the merits of the protest appeal.